

only to watch the company's principal asset, Continental Air, deteriorate and file for [Chapter 11](#). Texas Air stock fell from \$12 to \$4¾, and Continental stock, in which Texas Air held the majority position, fell to \$3. I kept a close eye on the situation as a potential turnaround. Texas Air cut costs; Continental won back its customers and returned from the accountant's graveyard. On the strength of their improvement, I built up a large holding in both companies. By 1986 both stocks had tripled.

In February, 1986, Texas Air announced it had purchased a large share of Eastern Airlines—also viewed as a favorable development. In a single year Texas Air stock tripled once again to a high of \$51½, making it a tenbagger since it solved its problems in 1983.

At this point my concern over the company's outlook unfortunately turned to complacency, and because the potential earning power of Eastern and Texas Air was so terrific, I forgot to pay attention to the near-term realities. When Texas Air bought out the remaining Continental shares, I was forced to cash in over half of my position in Continental stock and some bonds convertible to Continental stock. It was a stroke of fortune, and I made a tidy profit. But instead of selling my remaining Texas Air shares and making a happy exit from the whole situation, I actually bought *more* shares at \$48¼ in February, 1987. Given Texas Air's mediocre balance sheet (total debt from all the various airlines was probably greater than that of several underdeveloped countries), and given that airlines are a precarious cyclical industry, why was I buying and not selling? I got blindsided because the stock price was going up. I fell for the latest, improved Texas Air story even when the fundamentals were falling apart.

The new, improved story was as follows: Texas Air was benefiting from a leaner operation and sharply reduced labor costs. In addition to its interest in Eastern, it had just bought Frontier Air and People's Express and planned to revive them in the same way it had revived Continental. The concept was great: acquire failed airlines, cut costs, and big profits would naturally follow.

What happened? Like Don Quixote, I was so enamored of the promise that I forgot to notice I was riding a nag. I focused on the predictions of \$15 per share earnings for Texas Air in 1988, ignoring the warning signs that appeared every day in the newspaper: lost bags, botched schedules, delayed arrivals, angry customers, and disgruntled employees at Eastern.

An airline is a precarious business, the same as a restaurant. A few bad nights in a restaurant can ruin a fine reputation that took fifty years to develop. Eastern and Continental were having more than a few bad nights. The various parts didn't fit together smoothly. The grumblings at Eastern were symptoms of a bitter rift between management and the various unions over wages and benefits. The unions fought back hard.